

Reading Assignment 3

Student: Levy Lisboa Pan, 2502010502

Article Identification

Article: "The Challenger Banks That Threaten to Disrupt Financial Institutions"

Author: Bill Streeter, former Editor-in-Chief at The Financial Brand

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Topic: Challenger banks, digital banking, fintech competition, consumer banking habits, banking-as-a-service, legacy banking infrastructure, and the future of traditional financial institutions.

Short Summary

The article discusses the rise of challenger banks and their potential to disrupt traditional financial institutions. Although Big Tech companies such as Google, Facebook, Apple, and Amazon were receiving much of the banking industry's attention in 2019, the article argues that challenger banks should not be underestimated. Even if many of them were not yet profitable, their rapid user growth, mobile-first design, and ability to offer smoother customer experiences made them an important competitive threat.

A central argument of the article is that traditional banks partly created this opportunity themselves. Many banks and credit unions struggled to provide seamless digital experiences because of product and data silos, old infrastructure, and risk-averse cultures. Challenger banks, by contrast, were able to use modern technology, better design, and a more agile mindset to attract customers who were already used to changing habits in other areas of life, such as travel, shopping, music, and mobile apps.

The article also explains that the competition is not simple. Challenger banks face their own problems, including dependence on interchange fees, difficulty becoming profitable, regulatory barriers, and competition from Big Tech firms entering financial services. At the same time, traditional institutions still have advantages such as consumer trust, licenses, existing customers, and the ability to partner with fintech companies through banking-as-a-service models.

The article uses a challenger bank quadrant to classify different digital banks according to market growth potential, product innovation, and brand momentum. It also identifies several challenger banks to watch, including Marcus by Goldman Sachs, OakNorth, Varo Money, Current, and EQ Bank. Overall, the article's conclusion is that challenger banks may not completely replace traditional banks, but they are strong enough to pressure incumbents, especially midsize and community institutions that fail to modernize their customer experience and digital infrastructure.

My Initial Reading Notes / Discussion

While reading the article, the first point that made me think was the claim that traditional banks and credit unions have partly "invited" challenger banks into the market. The article explains this through old infrastructure, product and data silos, weak digital experience, and a risk-averse culture. I agree that these are real problems, especially from the customer's point of view. If opening an account, moving money, managing cards, or accessing basic services is easier through a challenger bank than through a traditional bank, it makes sense that customers would try the newer option.

However, I am not fully convinced that this weakness is enough to seriously threaten the biggest banks. My impression is that large banks are extremely difficult to displace. They have more money, more customers, stronger regulatory relationships, and more systemic importance. In many cases, the only way a very large bank truly falls is if it makes a major mistake, and even then there is a possibility that governments or regulators will intervene because the bank is considered too important to fail. For this reason, I do not see challenger banks as an immediate existential threat to the largest incumbents. They may reduce some profit margins and force banks to improve, but they do not necessarily destroy them.

This made me think about technological delay in a different way. When traditional banks wait before adopting new technologies, this may look like weakness or inefficiency. But it can also function almost like a form of observation. Challenger banks test new products, new interfaces, and new customer behaviors first. If these innovations work, larger banks can later copy, acquire, partner with, or integrate similar solutions. In that sense, part of the money that incumbents lose to challengers could almost be seen as the cost of letting the market experiment before they commit fully.

Another point that I found convincing was the article's discussion of consumer behavior. The chart showing the top reasons consumers adopt challenger bank solutions was especially interesting. The largest reason was that these accounts are easy to set up. This makes sense to me. I personally have several bank or fintech accounts, and a major reason is that they are easy to open. They do not require going physically to a branch, booking an appointment, or dealing with a slow administrative process. In many cases, the convenience of opening and using the account is enough to make the product attractive.

This also connects to my own experience with fintech tools. I still have my main Italian bank account, but I also use several other financial services depending on the situation. Sometimes these tools are not just more convenient; they are almost necessary. For example, in Brazil, PIX is one of the most important payment systems. To pay with PIX, a person usually needs a local bank account or a service that supports it, such as AstroPay. A normal foreign bank account may not allow that kind of payment. This shows that fintech adoption is not always about replacing the main bank. Sometimes it is about solving specific payment problems that the main bank does not solve.

This is why I found the article's idea of "accessorizing" a primary bank account useful. People may not completely abandon their traditional bank, but they add fintech tools around it. A person may keep a main bank account for salary, savings, or long-term trust, while using other apps for payments, travel, transfers, budgeting, investing, or local payment systems. This

seems like a realistic description of how many people actually use financial services today. The competition is not always one bank versus another bank. It is often one main banking relationship surrounded by many smaller specialized tools.

The article also made me think about trust. Traditional banks still have a strong trust advantage, and I think this advantage is important. When people are dealing with their salary, savings, mortgages, or long-term financial security, they may still prefer a large and established institution. At the same time, I do not think trust is the only reason traditional banks remain powerful. They also have a massive financial advantage. They can spend more, absorb losses more easily, acquire promising competitors, hire better compliance teams, and negotiate from a stronger position with regulators and partners. So their advantage is not only psychological trust. It is also structural power.

The profitability issue is another important point. The article notes that many challenger banks were not profitable and depended heavily on investor capital or transaction-based revenue. I think a company can definitely be dangerous before it becomes profitable. Spotify is a useful example. It was able to reshape music consumption and weaken older forms of competition before becoming consistently profitable. However, banking is different from music streaming. A challenger bank that fails is not as likely to be rescued as a major traditional bank. In finance, trust and stability matter more directly. If users believe a challenger bank may fail, they may move their money away very quickly. For this reason, challenger banks probably need either a credible path to profitability or a very strong growth narrative to survive.

Finally, I thought about what matters most for challenger banks. Technology, design, lower fees, and customer experience are all important. However, I think branding may be especially important. Many challenger banks offer similar basic services: easy account opening, cards, mobile apps, lower fees, spending insights, or savings tools. If the products become similar, then the question becomes which brand people remember, trust, and want to use. A strong brand can make the product feel safer, more modern, or more relevant to a specific group of users. This may explain why some challenger banks grow quickly while others disappear, even when the technical differences between them are not always obvious.

Overall, my first reaction is that the article is right to say that challenger banks matter, but I would be careful with the word "disruption." Challenger banks are changing customer expectations and forcing traditional institutions to improve. They are also useful because they test new financial products and reveal what customers want. However, I do not think they automatically replace the largest banks. In many cases, they may become part of a broader ecosystem where traditional banks, fintech startups, Big Tech companies, and banking-as-a-service providers depend on each other more than they simply destroy each other.

AI-Assisted Questions And Answers

Question 1

My Question

Revolut is one of the challenger banks mentioned in the article. Looking at the company today, how is Revolut actually doing financially? Is it profitable, is it still dependent on investor

growth expectations, and does its financial performance support the idea that challenger banks can become serious long-term competitors?

AI Answer

Revolut is now one of the strongest examples of a challenger bank that moved beyond the early stage of simply growing users without clear profitability. The company is profitable and has reported very strong recent financial results. In 2025, Revolut reported record profit before tax of about £1.7 billion, revenue of about £4.5 billion, and more than 68 million customers. This means Revolut is no longer only a speculative startup story. It has become a large financial platform with meaningful revenue, profit, and international scale.

This financial performance supports the idea that at least some challenger banks can become serious long-term competitors. However, Revolut should still be interpreted carefully. It is not yet the same type of institution as a large traditional universal bank. A major part of its revenue has come from fees, card payments, foreign exchange, subscriptions, interest income, and wealth-related products such as trading and crypto. Lending has grown, but lending and mortgages are still smaller parts of its business compared with traditional banks. This matters because lending is one of the core ways banks generate long-term profits.

Revolut's recent progress also shows that regulation is central to the challenger-bank story. The company had to wait several years for a full UK banking license. After regulatory approval, it started moving more directly into traditional banking services such as credit cards, personal loans, overdrafts, and eventually mortgages. This suggests that the challenger model becomes more threatening when the firm can move from being a useful financial app into being a regulated bank that can hold deposits, lend money, and become a customer's main financial institution.

Overall, Revolut seems to confirm part of the article's argument. Challenger banks can become real competitors, but the successful ones do not remain simple mobile apps. They become broader financial platforms. They need scale, regulation, trust, multiple revenue streams, and eventually more traditional banking products.

My Thoughts

This answer changes the article from a purely speculative 2020 discussion into a more concrete case. Revolut shows that at least one challenger can become profitable and large, but it also confirms my doubt that the company has to become more like a real bank to become truly dangerous to traditional banks.

Question 2

My Question

Do we know how long these new challenger banks usually last, and whether they become profitable? Are most of them short-lived experiments, or do some of them develop into stable financial institutions?

AI Answer

There is no single clear survival rule for challenger banks. The category is still relatively young, and "challenger bank" can mean different things: a fully licensed digital bank, a fintech

app using a partner bank, a payments company, a banking-as-a-service product, or a digital brand created by an incumbent. Because of this, it is difficult to give one universal survival rate.

The evidence is mixed. Some challenger banks have clearly survived and become stronger. Revolut, Starling, Monzo, and Nubank show that digital-first banks can scale, attract many customers, and eventually become profitable. Monzo reported its first annual profit in 2024, while Nubank has become a large profitable digital bank in Latin America. These examples suggest that challenger banks are not automatically short-lived experiments. Some can become durable financial institutions.

However, many challenger banks struggle. Some fail, shut down, exit markets, or are absorbed by larger institutions. Simple operated for more than a decade but was eventually closed after being acquired. N26 survived as a European digital bank, but it exited the UK and U.S. markets, showing that even successful challenger banks may fail in specific geographies. Australian neobanks such as Xinja and Volt returned their banking licenses and stopped operating as banks.

The main difference between survivors and weaker challengers seems to be whether they can move beyond attractive design and user growth. A challenger bank needs a real path to profitability. It cannot depend forever on investor capital, free accounts, interchange fees, or hype. It needs stable revenue sources such as lending, deposits, subscriptions, business banking, wealth products, or other financial services. It also needs strong compliance, because banking is much more regulated than normal technology markets.

This means that challenger banks can be dangerous before they are profitable, but banking is less forgiving than sectors such as music streaming or social media. If a music app fails, users lose convenience. If a bank fails, users may fear for their money. For this reason, trust, regulation, capital, and risk management matter much more in banking.

My conclusion is that challenger banks are not all short-lived. The best ones can survive and become serious companies. But the weaker ones often disappear, pivot, or get absorbed. The market seems to select for challengers that can combine good digital experience with financial discipline, regulatory credibility, and a business model that works without permanent investor subsidies.

My Thoughts

This answer supports my initial suspicion that banking is harsher than many other digital markets. A company can be unprofitable and still dangerous, but in banking it cannot rely only on hype forever. It needs regulatory credibility and a stable business model.

Question 3

My Question

Have any of today's large traditional banks started relatively recently as small challenger-style institutions, or did most major banks become dominant through older historical processes such as mergers, licenses, branch networks, and long-term accumulation of trust?

AI Answer

Most of today's largest traditional banks did not start recently as challenger-style digital banks. They usually became dominant through long historical processes: banking licenses, branch networks, mergers, acquisitions, regulatory relationships, corporate clients, deposits, and long-term accumulation of trust.

For example, many major U.S. and European banks trace their origins back more than a century. JPMorgan Chase has roots going back to the Bank of the Manhattan Company in 1799. Bank of America traces one important part of its history to the Bank of Italy, founded in San Francisco in 1904. These banks became large not because they suddenly disrupted the market as small digital startups, but because they expanded over long periods and combined with many other financial institutions.

There are partial exceptions. Capital One is a useful modern example. It began in the 1990s as a data-driven credit card company rather than as a traditional branch-based bank. It used information technology and statistical analysis to target customers more precisely. Over time, it expanded into loans and retail banking and became a major U.S. financial institution. This is not exactly the same as a challenger bank like Revolut or Monzo, but it shows that a newer, technology-driven financial company can grow into a large bank-like institution.

Nubank is another important example, especially outside the U.S. and Europe. It was founded in Brazil in the 2010s and has become one of the largest digital banking companies in the world. It shows that in markets where traditional banks are expensive, concentrated, or disliked by customers, a digital-first bank can grow very quickly.

Still, these examples are not the normal path. The more common pattern is that large banks are old institutions that became larger through mergers, acquisitions, licenses, deposits, and trust. Challenger banks can become important, but turning into a major bank takes much more than a good app. It requires time, capital, regulation, risk management, and the ability to convince customers to use the bank for core financial activities, not only as a secondary account.

So the answer is mixed. Yes, some newer financial companies have grown into major institutions, especially Capital One and Nubank. But most of the largest traditional banks became dominant through older historical processes. This supports my earlier doubt: challenger banks can pressure incumbents and force them to improve, but replacing the largest banks is much harder than simply offering a better mobile experience.

My Thoughts

This answer makes the history of banking look very different from the history of normal technology products. In banking, the biggest companies often become large through time, regulation, mergers, and accumulated trust. This makes disruption slower and harder.

Question 4

My Question

Is the real threat from challenger banks that they replace traditional banks, or that they force traditional banks to copy their features, improve their apps, and lower customer expectations for friction?

AI Answer

The more realistic threat is probably not that challenger banks completely replace traditional banks. The stronger threat is that they change what customers expect from banking.

Traditional banks have strong advantages: large balance sheets, licenses, existing customers, regulatory experience, trust, branch networks, and the ability to survive shocks. Because of this, it is difficult for a challenger bank to simply destroy a major incumbent. However, challenger banks can still be disruptive even if they do not fully replace banks. They can take specific parts of the banking relationship and make customers less loyal to their main bank.

This is why the article's idea of customers "accessorizing" their primary checking accounts is important. A customer may keep a traditional bank account for salary, savings, or safety, but use fintech apps for payments, transfers, travel, investing, budgeting, or short-term financial management. In that situation, the traditional bank is not fully replaced, but it loses attention, data, transaction volume, and customer engagement.

Challenger banks also create pressure by making friction look unnecessary. If a user can open a challenger-bank account in minutes, freeze a card instantly, receive real-time notifications, move money easily, and use a clean mobile interface, then the slow processes of traditional banks become harder to justify. Even if the customer does not leave the traditional bank, the customer may start comparing the bank's app and services to the challenger-bank experience.

For this reason, the main disruption is probably indirect. Challenger banks force traditional banks to modernize their apps, improve onboarding, reduce fees, speed up customer service, and offer more transparent digital products. Traditional banks can respond by building internally, partnering with fintechs, acquiring fintech companies, or using banking-as-a-service models. In many cases, the final result is not replacement but imitation and integration.

This makes challenger banks similar to innovation laboratories for the banking industry. They test new customer experiences and prove which features people actually want. If a feature works, traditional banks can copy it or buy access to it. This supports my earlier thought that some of the money banks lose to challengers can be interpreted as the cost of letting new firms experiment first.

So the answer is that challenger banks are a replacement threat only in some segments, especially among younger, mobile-first, underbanked, or fee-sensitive customers. For the whole banking system, their larger impact is that they reset customer expectations. They make banking faster, simpler, more app-based, and more customer-centered. Even if traditional banks remain dominant, they are forced to become more like the challengers.

My Thoughts

This answer fits my original reaction to the article. I do not think the largest banks disappear quickly, but challenger banks still matter because they change the standard of what a banking product should feel like.

Question 5

My Question

The article suggests that traditional banks still have a trust advantage, while challenger banks often compete through convenience, speed, design, and branding. In retail banking, which factor seems to matter more today: trust or convenience?

AI Answer

Trust and convenience both matter, but they matter in different situations.

For everyday banking behavior, convenience often matters more than people admit. If an account is easy to open, the app works well, fees are low, transfers are fast, and the product solves a specific problem, many users are willing to try it. The article's chart is useful here because the largest reason consumers adopted challenger-bank solutions was easy account setup, while greater trust than traditional institutions was one of the smallest reasons. This suggests that many people do not use challenger banks because they trust them more than old banks. They use them because they are easier.

This fits real behavior. People may keep their main bank because it feels safe, but they still use Revolut, Wise, PayPal, Apple Pay, PIX-compatible services, investing apps, or other fintech tools because those tools solve immediate problems better. Convenience is especially powerful when the transaction is low-risk or practical: sending money, travelling, splitting bills, paying internationally, checking spending, or opening a secondary account.

However, trust becomes more important when the stakes are higher. For salary deposits, mortgages, business accounts, long-term savings, loans, financial advice, or large balances, people are more cautious. In those situations, the reputation, regulation, history, and perceived stability of a traditional bank still matter. A clean app is not enough if customers are worried about whether their money is safe, whether customer support will respond, or whether the company will still exist in ten years.

This means the relationship is not trust versus convenience. It is more like a hierarchy.

Convenience can attract people at the beginning, especially for secondary accounts and simple financial tasks. Trust determines whether the customer is willing to move the center of their financial life to that provider.

Traditional banks therefore have a defensive advantage, but not a complete one. If they rely only on trust and ignore convenience, customers may keep the account but move their active behavior elsewhere. The bank becomes a place where money sits, while fintech apps become the places where the customer actually interacts with finance. That is still a serious problem because the institution that controls the daily interface can build stronger habits, collect more data, and sell more services over time.

My conclusion is that convenience is often the adoption trigger, while trust is the retention and depth factor. Challenger banks win attention through convenience, design, and branding. Traditional banks retain power through trust, regulation, and financial strength. The strongest financial institutions will probably be the ones that combine both: the trust and stability of a bank with the speed and usability of a fintech app.

My Thoughts

This answer is close to how I actually use financial services. I may trust my main bank more for important things, but I still use other fintech tools when they are easier or when they solve a payment problem that my main bank does not solve.

Personal Comments And Critical Reflection

After working through the article and the AI questions, my main view is that challenger banks should be understood less as immediate replacements for traditional banks and more as forces that change customer expectations. The article is persuasive when it argues that challenger banks exposed weaknesses in traditional banking, especially around user experience, account setup, mobile design, and slow internal systems. However, I still think the article slightly overstates the threat if "disruption" is understood as the direct destruction of large banks.

The biggest banks are protected by more than customer loyalty. They have capital, licenses, regulatory experience, deposit bases, institutional relationships, and sometimes systemic importance. This means that even if they lose some users or product segments to challenger banks, they still have many ways to respond. They can copy successful features, partner with fintechs, acquire startups, launch their own digital brands, or use their existing trust to keep customers for core financial services.

At the same time, this does not make challenger banks unimportant. Their strongest effect may be indirect. They make old banking processes look unnecessarily slow. They show that customers are willing to open accounts quickly, use multiple financial apps, and separate their main bank from their daily financial behavior. This means that the traditional bank may keep the account, but lose part of the customer relationship.

The profitability question also became more interesting after asking about Revolut and other challenger banks. Some firms, such as Revolut, Monzo, Starling, and Nubank, show that digital-first banking can become financially serious. But other examples, such as Simple, Xinja, Volt, or N26's market exits, show that the model is not automatically successful. A good app is not enough. A challenger bank also needs regulation, compliance, capital, trust, and a path to durable revenue.

The most important insight I gained is that banking disruption is slower and more structural than disruption in many other digital industries. In music, travel, or shopping, users can switch platforms quickly. In banking, switching is more sensitive because people are dealing with income, savings, debt, identity, and financial security. For this reason, convenience may attract users, but trust determines whether they move deeper parts of their financial life.

Overall, I think the article remains useful because it identifies a real shift in banking: customers no longer compare banks only with other banks. They compare them with the best digital experiences they use every day. Even if challenger banks do not replace large banks, they force the entire industry to become faster, simpler, more transparent, and more customer-centered.

AI Use Evidence / Method Note

This reading assignment was prepared with the assistance of ChatGPT. I first read the article and wrote quick personal reactions about the points that made me think, especially around

incumbent power, challenger-bank profitability, easy account opening, trust, and the role of branding. I then used AI to organize those reactions into a clearer reading-notes section.

After that, I asked AI five in-depth questions based on the article and on my own doubts. The questions focused on Revolut's current financial performance, the survival and profitability of challenger banks, whether newer firms can become large banks, whether disruption means replacement or pressure, and whether trust or convenience matters more in retail banking.

The AI answers helped me compare the 2020 article with later developments and refine my interpretation. I did not use AI only to generate a summary. I used it as a discussion partner to test my assumptions, expand the analysis, and connect the article to current examples.

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